

## Planning Home Improvements

Whether you've just bought a fixer-upper and need to do some renovations, you're trying to make room for a growing family, or you just want to increase the value of your home by remodeling, you have several options for financing the improvements. Before you approach a lender, make a detailed plan of the work you want done and get bids from several contractors.

Whenever you use your home as collateral, as in a mortgage or home equity loan, you risk losing it if you can't make the payments. That's why it's so important to get detailed, accurate cost estimates from reputable, experienced contractors. If the contractor's work is incomplete or shoddy and you have to hire someone else to finish or fix it, you still have to repay the loan.

Shop for financing at established financial institutions and compare rates and fees from several different lenders. Contractors sometimes offer to arrange financing with a particular lender. The contractor usually receives a commission from the lender for the referral and you can end up paying for it in higher interest rates or fees you wouldn't incur at your local bank or credit union.



According to estimates from the U.S. Department of Commerce, in the year 2007 Americans spent \$226.4 billion on repairs and improvements to their homes. Many big-ticket improvements don't pay for themselves when it comes time to sell, so choose them wisely.

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### The Best Way to Find a Contractor